

Crypto Trading Guide

Digital assets, DeFi, on-chain data, and token analysis

18 pages

Educational Guide

Not Financial Advice

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1. The Crypto Market Hierarchy

The crypto market has a clear hierarchy. Understanding how assets relate to each other helps you predict how different coins behave during bull and bear cycles.

Asset	Risk Level	Liquidity	Market Role
Bitcoin (BTC)	High	Very High	Market leader — everything follows BTC
Ethereum (ETH)	High	High	Smart contract platform — DeFi foundation
Large Cap Alts	Very High	Med-High	Follow BTC/ETH with amplification
Mid Cap Tokens	Extreme	Medium	Narrative-driven, high volatility
Meme Coins	Extreme	Low-Med	Sentiment-only, can go to zero quickly
New DeFi Tokens	Maximum	Very Low	Smart contract risk plus price risk

2. Blockchain Fundamentals

Blockchain

A distributed ledger where every transaction is recorded permanently and publicly. No single entity controls it. Once recorded, data cannot be altered — this immutability is the foundation of trust in crypto.

Wallet

Software that stores your private keys and lets you access your crypto. Your assets live on the blockchain — the wallet is just the interface. Wallets can be hardware (cold, offline) or software (hot, online).

Private Key

A secret cryptographic key that proves ownership of your assets. Anyone with your private key controls your funds. Never share it, screenshot it, or store it in cloud services. Not your keys, not your coins.

Gas Fees

Transaction fees paid to network validators for processing your transaction. On Ethereum, gas prices fluctuate with network demand — low activity means cheap transactions, high activity means expensive ones.

Smart Contract

Self-executing code deployed on a blockchain that automatically enforces agreement terms without intermediaries. The foundation of DeFi, NFTs, and most token projects.

3. DeFi Explained

Decentralized Finance replicates traditional financial services — lending, borrowing, trading, earning yield — without banks or intermediaries.

DEX (Decentralized Exchange)

Trade tokens peer-to-peer without a central authority. No account required — just connect your wallet. Examples: Uniswap, SushiSwap, dYdX. Prices set by automated market makers using liquidity pools.

Liquidity Pool

Pairs of tokens deposited by users that power DEX trades. You can provide liquidity and earn fees, but risk impermanent loss if prices diverge significantly from your entry.

Yield Farming

Depositing assets into DeFi protocols to earn returns. Higher yields almost always mean higher risk. Many yield farming protocols have been exploited or their tokens have collapsed — thorough research is essential.

TVL (Total Value Locked)

The total dollar value of assets deposited in a protocol. Higher TVL generally indicates more trusted protocols, though it is not a guarantee of safety. Watch for sudden TVL drops as an early warning sign.

4. On-Chain Data Analysis

On-chain data is publicly available blockchain data that provides unique insights unavailable in traditional markets. Fueva incorporates on-chain signals in its analysis.

Metric	What It Measures	Signal
Exchange Inflows	Crypto moving TO exchanges	Bearish — selling pressure incoming
Exchange Outflows	Crypto moving OFF exchanges	Bullish — supply being removed
Whale Movements	Large wallet transfers (1000+ BTC)	Watch direction carefully
Active Addresses	Unique wallets transacting	Bullish if rising with price
Token Unlocks	Locked tokens becoming tradable	Bearish — potential sell pressure

5. Exchange Safety

Critical Warning

Not your keys, not your coins. FTX, Celsius, and BlockFi all collapsed — taking customer funds with them. Only keep on exchanges what you plan to trade immediately. Move any significant holdings to a hardware wallet.

- Use hardware wallets (Ledger, Trezor) for any significant holdings
- Enable two-factor authentication using an authenticator app, not SMS
- Never share your seed phrase with anyone for any reason whatsoever

- Only use regulated exchanges in your jurisdiction
- Spread holdings across multiple exchanges to reduce single-point-of-failure risk
- Keep records of all transactions for tax reporting purposes

6. Token Metrics

Market Cap

Total value of all tokens in circulation. Calculated as price multiplied by circulating supply. Always compare market caps rather than prices when evaluating tokens.

Fully Diluted Valuation (FDV)

Market cap if ALL tokens including locked and unreleased ones were in circulation. An FDV much higher than market cap signals significant future dilution risk.

Circulating vs Total Supply

If only 10% of total supply is circulating, the remaining 90% will eventually enter the market creating sell pressure. Always check the token unlock schedule.

Token Distribution

Check what percentage is held by team, VCs, and early investors. High insider concentration means high risk of coordinated selling. Prefer projects with broad distribution.

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